

Predatory Lending

A qualified mortgage is one that can be bought or guaranteed by Fannie Mae, Freddie Mac, and FHA, the three government entities that dominate the mortgage lending market today. In addition to legal protections provided in the event the consumer defaults, qualified mortgages can be sold on the secondary market.

Unfortunately, there are lenders who revert to predatory lending tactics. They may carry their own loans and aren't concerned about selling them on the secondary market, so they don't bother following the rules.

Let's define predatory lending. It's lending that takes advantage of the consumer by doing one or more of the following:

- Encouraging debt
- Making loans to unqualified buyers (consumers who can't really afford the loan)
- Flipping loans (talking the consumer into refinancing over and over so they can charge fees)
- Not disclosing all fees related to the loan
- Not disclosing the true nature of the loan obligation
- Including toxic loan features (e.g., terms exceeding 30 years, negative amortization, usurious interest rates)

Subprime Loans

Predatory lending often occurs in the **subprime loan market**, where borrowers who can't qualify for a conventional loan are easy to take advantage of. But it's also a risk for any borrower who doesn't understand how mortgages work or who isn't encouraged to understand all of the ramifications of the loan terms. A **subprime loan** is a type of loan that is offered at a rate above prime to individuals who don't qualify for prime rate loans. Subprime loans are made to high-risk borrowers, at higher interest rates and with higher fees. In most cases, these borrowers were turned down by traditional lenders because of poor credit and are seen as less likely to be able to repay a loan.

Subprime borrowers often have:

- Bad credit or lack of credit history
- Low income or poor debt-to-income ratios
- Large loans relative to the securing property (high loan-to-value ratio)
- Maxed out credit cards

The term "subprime" usually refers to borrowers who aren't considered "prime." Some lenders, however, such as those that specialize in working with subprime borrowers, are known as "subprime lenders."

Because subprime borrowers are considered higher risk for lenders, these loans typically have higher interest rates and fees, which can translate into thousands of dollars' worth of additional cost over the life of the loan. Subprime loans are intended to be short-term (about two to four years), giving borrowers a chance to pay back debts and clean up their credit. After this time, borrowers should theoretically be able to refinance into a lower risk, lower-rate loan from a major bank or other financial institution.

Some additional facts about subprime lenders, courtesy of the U.S. Department of Housing and Urban Development (HUD), include:

- Refinanced loans represent a higher share of loans originated for subprime lenders, as compared to prime lenders.
- Subprime lenders originate a larger share of their total loan originations in predominately black census tracts, as compared to prime lenders.
- Subprime lenders are more likely to have terms like "consumer," "finance," and "acceptance" in their lender names.
- Predatory lenders often work in the subprime market, so borrowers should research their options before making a loan commitment.